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Budget to reveal new tax-free allowance for low-income state pensioners, say reports

John Healey also set to protect the tax-free pension lump sum on Wednesday



Alex Levy

26 October 2026 • 2 min read

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Image: John Healey ©House of Commons

The chancellor will increase the tax-free allowance for low-income pensioners as the state pension is set exceed the personal allowance for the first time next year, according to reports in The Times.

Earnings data in September revealed earnings growth at 3.9%, widely expected to be the increase applied to next year's state pension under the triple lock. This will bring the annual state pension to £13,036, above the personal allowance of £12,750, meaning many pensioners would pay income tax on the state pension for the first time.

Reports yesterday (25 October) suggested the chancellor will use Wednesday's Autumn Budget to increase the personal allowance for low-income pensioners to £13,036, to maintain a precedent established at the 2025 Budget by former chancellor Rachel Reeves that pensioners dependent on the state pension will not be taxed. The measure is also designed to avoid the administrative burden on this group to pay a small amount of a tax.

With the Budget due to be printed this evening, *The Times* also reported that the chancellor has decided not to reduce the tax-free pension lump sum, which allows savers to take 25% of their pension tax-free from the normal minimum pension age of 55 up to £268,275.

The increase to the personal allowance will rise in line with increases to the state pension for the duration of the current parliament and is expected to cost the Treasury £200m per year by 2030.

LCP partner and former pensions minister Steve Webb said the proposed measures would be "messy and increasingly expensive", with the bill to taxpayers escalating year-by-year as the gap between the tax threshold and the state pension widens.

Webb also suggested that the policy would create a "cliff-edge", where pensioners with even tiny amounts of private pension would not qualify for the increased allowance.

He said: "The gap between the new state pension and the tax threshold is set to grow every year, which will make the policy hard to switch off. But if it continues, the cost will grow and grow."

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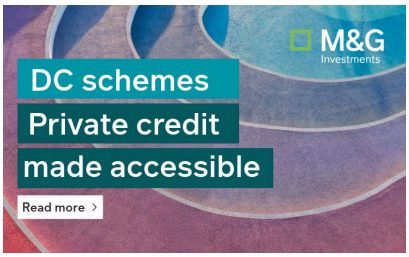
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